

AML Admin Ongoing Monitoring & Enhanced Due Diligence

GUIDELINES

March 17, 2025

BEEM
CREDIT UNION

Document Tracking and Control Table

Policy Owner	Pattie Lamboo – VP Compliance, CAMLO
Approval Date	August 24, 2026
Version	001
Access Level	AML Compliance Department
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Last Full Review Date	February 3, 2026
Update Date (changes were made but a full review was not conducted)	July 16, 2026
Review Frequency Requirement	Annually
Changes made	Refer to Version History
Stakeholders Impacted	AML Compliance Department

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1 Purpose

As part of its Anti-Money Laundering (AML) and Terrorist Financing (TF) Policy, Beem Credit Union must conduct ongoing monitoring on all members in order to ensure that:

- Member identification and beneficial ownership information, and the purpose and intended nature of the business relationship record is up to date
- Member risk ratings are reassessed and based upon up-to-date transactions and activities
- Member transactions are consistent with the business relationship record and risk rating in Navaera; and
- Detection of any suspicious transactions, or attempted suspicious transactions, that are required to be reported to FINTRAC

Ongoing monitoring for High-Risk Members (HRM) also includes the application of certain Enhanced Due Diligence (EDD) measures to further mitigate and manage the enhanced risk that these members pose. The following enhanced measures must be performed for all HRM at least every 12 months:

- A review of Know Your Member (KYM) information to ensure it is accurate, up to date and complete.
- Enhanced transaction monitoring to ensure that behavior is as expected; and
- EDD measures to better understand HRM relationships

The Credit Unions Anti-Money Laundering (AML) Compliance Team is accountable for conducting periodic reviews for HRM in order to comply with these ongoing monitoring & EDD Policies, and for ensuring that periodic reviews occur as scheduled and are appropriately documented. This procedure will outline the approach that has been adopted to conduct these reviews.

2 Guidance

Use these guidelines and procedures in conjunction with the Credit Union [Unusual Activity Reporting Guidelines](#) and [AML Admin - UAR and STR Reporting Guidelines and Procedures](#)

3 Operational Procedure

All HRM's will be subject to an EDD review at least once every 12 months. This process is intended to outline how the EDD reviews will be conducted to ensure the effectiveness of the KYM and ongoing monitoring processes that the Credit Union has in place.

3.1 Scheduling

The AML Compliance Team will utilize the following tracking mechanisms to schedule and manage EDD and ongoing monitoring reviews:

- Navaera's Sunflower EDD Workflows
 - EDD Personal

- EDD Business
- SharePoint List - [DEPT- Compliance - AML - High-Risk EDD and Ongoing Monitoring Tracker](#)

3.2 EDD Review Process

The AML Compliance Team will utilize the [EDD Review Form](#)

to document their review which consists of three main stages as follows:

1. [KYM Review](#) - A review of KYM information to ensure that all information held on file is accurate, complete, and up to date;
2. [Behaviour Review](#) - A review of transaction activity and product usage, for a minimum of the last three months, to ensure that it is consistent with expected activity; and
3. [EDD Review](#) - A review of any other EDD measures taken, including adverse media searches.

Upon completion of these stages, the AML Compliance Team must determine if there are grounds to conduct one of the following:

- to de-market (i.e. restrict services and close accounts).
 - Refer to [AML Admin - Withdrawal of Services Procedures](#)
- to adjust the member risk score; or
- to submit a Suspicious Transaction Report (STR) to FINTRAC.

Should any of the following recommendations be made, they must be fully documented in the member profile in Sunflower detailing the reasoning for the determination.

If it is deemed that the member review does not require any escalation, all review notes are to be documented in detail in Sunflower and the review closed with a new recertification date to be set to commence within 12 months. A record of each review conducted must be kept for internal and regulatory review purposes.

3.2.1 KYM Review

The purpose of the KYM review is to ensure that all relevant KYM information that is held on file for each member is accurate, complete, and up to date. All incomplete or out of date KYM information will be collected by the branch or business line where the member relationship was established.

At a minimum, the following KYM information held on the banking system should be reviewed for accuracy and completeness for personal relationships, including sole proprietorships:

PERSONAL KYM INFORMATION	
Identification information	Expired identification is to be updated;
Address (legal address and mailing), telephone number and email address (if applicable)	Ensure contact information is on file and up to date

Employer and specific occupation information	Ensure that the information is reasonably descriptive. For example, if the individual's occupation is "Manager", the banking system should specify the area of management, such as "Hotel Reservations Manager" or "Retail Clothing Store Manager"
If the individual is a Sole Proprietor, the nature of their principal business must be recorded	Ensure that the information is reasonably descriptive. For example, if the individual is a self-employed consultant, the banking system should specify the area of consultancy, such as "Anti-Money Laundering Consultant" or "Residential Construction Consultant"
PEP determination	Ensure that PEP fields in the banking system are completed
Purpose and Intended Nature of Business Relationship	Ensure that the nature of business aligns with activity being conducted
FINTRAC Business Relationship is on file and in line with membership	Ensure that the business relationship align with activity being conducted
Intended Use of Account(s)	Ensure that the intended use aligns with activity being conducted
Third Party Declaration	Ensure that third party determination is on file and up to date
Membership Documentation	Is on file, accurate, and up to date

The following KYM information on the banking system, and documentation must be reviewed for accuracy and completeness for entity relationships:

ENTITY KYM INFORMATION	
Documentation that confirms the existence of the entity	Ensure that the documentation on file is complete, accurate, and up to date for the specific type of entity;
Identification information	Confirmation of Incorporation or Registration number for the entity
Address (legal address and mailing), telephone number and email address (if applicable)	Ensure contact information is on file and up to date
Listing of current Directors, if applicable (BC Online Registry Search)	Listing of all current directors of the entity
Beneficial ownership information (i.e. Central Securities Register)	the name and address of all the individuals that own or control, directly or indirectly, 25% or more of the entity

Nature of Business	Ensure that the information is reasonably descriptive. For example, when an entity's principal business area is "sales", the banking system should specify the type of sales, such as "pharmaceutical sales" or "retail sales"
FINTRAC Business Relationship is on file and in line with membership	Ensure that the business relationship align with activity being conducted
Purpose and Intended Nature of Business Relationship	Ensure that the nature of business aligns with activity being conducted
Intended Use of Account(s)	Ensure that the intended use aligns with activity being conducted
Third Party Declaration	Ensure that third party determination is on file and up to date
Membership Documentation	Is on file, accurate, and up to date

KYM information is deemed to be up to date if the branch has conducted a KYM review within the previous 12 months and no missing information has been identified.

- The **Compliance Review** user field can be reviewed to determine the date of last Compliance Review

It is the branch's responsibility to keep KYM information up to date while conducting regular banking activities, and at Triggering Events (Refer to Credit Union Triggering Event Guidelines). Therefore, the AML Compliance Team will consider the information in the banking system as current and up to date. If there is evidence that the information in the banking system may be obsolete or inaccurate, the AML Compliance Team will request the branch conduct a KYM update.

The following steps must be taken upon the determination that any KYM information is incomplete, inaccurate, or expired:

1. Communication with the appropriate branch or Relationship Manager to obtain the required KYM information from the member within 30 calendar days; or
4. If, after 30 calendar days, the branch is unable to confirm the accuracy or unable to update the KYM information, the membership will be escalated within the AML Compliance Team to determine next steps. These additional steps may include a recommendation to the branch to restrict account services as result of not being able to maintain adequate KYM information.

3.2.1.1 Beneficial Ownership Material Discrepancies – Federally Incorporated Corporations

In addition to obtaining supporting documentation from the member confirming the name and address of all the individuals that own or control, directly or indirectly, 25% or more of the entity, the AML Compliance Team must also determine whether there are material discrepancies for federally incorporated corporations who are deemed high-risk of potential money laundering or terrorist activity financing offences. This would include members deemed high-risk under the Credit Union's [High-Risk, Prohibited, and Restricted Memberships Policy](#)

For federally incorporated corporations the AML Compliance Team must complete the following steps as part of the ongoing monitoring review process:

1. Search for the Federal Corporation in the Corporations Canada Database:
 - a. [Search for a Federal Corporation - Online Filing Centre - Corporations Canada - Corporations - Innovation, Science and Economic Development Canada](#)
2. Open the corporation information
3. Review the information included in the database
 - a. Overview – this outlines the corporations information including corporation number, corporate name, business number
 - b. Registered office address – the office where the corporation is registered
 - c. Directors – listing of all registered directors including names and addresses
 - d. Individuals with significant control – listing of all individuals who owns or controls 25% or more of the entity including the date the information was last updated
 - e. Annual Filings – information regarding the last annual report submission for the corporation and whether the corporation is in good standing
 - f. Corporate history – outlines when the corporation was incorporated and any changes (i.e. name changes)
4. Compare the supporting documentation provided by the entity for beneficial ownership (i.e. Central Securities Register) with the listing of the **Individuals with significant control**
 - a. If no discrepancies are identified, nothing further is required
 - b. If a material discrepancy is identified, a Beneficial Ownership Discrepancy Report must be submitted to Corporations Canada within 30 days of the date of identifying the discrepancy.
 - i. Refer to the [AML Admin - Beneficial Ownership Discrepancy Reporting Procedures](#) for reporting requirements
5. Document review findings in the [EDD Review Form](#)
- 6.

3.2.2 Behaviour Review

The purpose of the Behavior Review is to determine if a member's transaction activity and product usage is in line with what is expected activity based on the KYM information of the member (i.e., purpose and intended nature of business relationship and intended use of account), historical transactions, and relevant documentation on file (e.g., articles of incorporation).

The following actions must be taken as part of the review:

- A review of transaction activity and product usage, for a minimum of the most recent three months to determine if the activity is consistent with the expected behaviour, purpose and intended nature of the business relationship and intended use of account(s)
- A review of any associated Unusual Activity Reports (UAR) received since the last review date to determine if there is a need for further escalation
- A review of any regulatory reports submitted to FINTRAC (LCT, & EFT) or Suspicious Transaction (ST) Events generated since the last review date to determine if the activity is consistent with the expected behaviour, purpose and intended nature of the business relationship and intended use of account(s)

The following steps should be undertaken if it is determined that the transaction activity and product usage is not consistent with expected behaviour, purpose and intended nature of the business relationship, and/or intended use of account(s):

1. If the AML Compliance Team deems that the behaviour is unexpected, unusual, or suspicious, a further investigation must be conducted, and if necessary, an STR(s) should be filed. Refer to [AML Admin - UAR and STR Reporting Guidelines and Procedures](#)
2. If the review uncovers the need to update KYM information (e.g., purpose and intended nature of the business relationship or intended use of account), the membership will be referred to the branch or Relationship Manager to update the information on the banking system.

3.2.3 EDD Review

The purpose of the EDD review is to ensure that information, in addition to that obtained from the KYM and Behaviour Reviews, is obtained to adequately mitigate the risk posed by a member.

At a minimum, the following actions must be taken as part of the review:

- A name screening review to ensure that there are no positive matches against designated lists (i.e., sanctions, terrorist, and PEP screening)
- An open-source information search (e.g., internet) to determine if there is any associated adverse media, particularly any specific to financial or criminal offenses
- A search of the BC Court Registry, or other jurisdiction registries as appropriate, to determine if the member has been named in any court proceedings
 - list of open-source searches can be found in the [AML Admin - UAR and STR Reporting Guidelines and Procedures](#)
- A review of any other EDD measures taken since the last review to determine if the information held on file is still valid and up to date
- Additional EDD activities may also be performed dependent on whether the AML Compliance Department deems them necessary.

Should any unexpected, adverse, or unusual information be obtained from the review, a further investigation must be conducted to determine next steps. Refer to the [AML Admin - UAR and STR Reporting Guidelines and](#)

[Procedures](#). These additional steps may include escalating the matter with a recommendation to de-market the member as result of the subsequent investigation.

Approval to lower the risk rating for a high-risk member must be approved by the CAMLO or CAMLO Designate, and a copy of the approval should be stored in Sunflower.

3.3 Review Completion

When an EDD Review of the member has been completed, the following actions must be performed:

- Applicable [notes](#) entered into Member Profile in Sunflower
- [EDD Review Form](#) and other relevant [documents](#) uploaded to member profile in Sunflower
- EDD [workflow](#) in Sunflower must be updated to reflect the next review date
- Add membership to High-Risk & Ongoing Monitoring [Tracking Sheet](#)
- Member [risk rating](#) adjusted if necessary

3.3.1 Adding Notes in Sunflower

The notes section of Sunflower will be utilized by the AML Compliance Team to document any relevant information pertaining to the member in question. These notes should relay important information in a detailed manner to any AML Compliance Team team member who reviews the profile should a triggering event occur (i.e. ST event, Unusual Activity Investigation, etc).

Notes added to Sunflower cannot be modified once added.

Log into Navaera, select Sunflower Application:

- From home screen enter Person Number in the search bar:
 - PERS_DXXX Beem Member Profiles
 - PERS_XXX(Legacy Gulf and Fraser Person Number)
 - PERS_NXXX(Legacy NP Person Number)
- Select Member from list
- Select Details tab
- Select **Notes** from dropdown
- Enter detailed summary of the EDD Review and findings including
 - Next review date, if applicable
 - Summary of findings
 - Whether an STR was submitted
 - Any EDD Measures placed on membership
 - Any other relevant information pertaining to the review
- Click **Add Note**

3.3.2 Uploading Documents in Sunflower

The documents section of Sunflower will be utilized by the AML Compliance Team to store any relevant documents pertaining to the member in question.

Documents collected as part of an EDD Review that would not be stored in their member file will be uploaded to this section in sunflower. This would include items such as:

- [EDD Review Form](#)
- Correspondence with branches
- Other documents deemed relevant to the membership

Documents can be uploaded and downloaded for future reference or use.

Log into Navaera, select Sunflower Application:

- From home screen enter Person Number in the search bar:
 - PERS_DXXX Beem Member Profiles
 - PERS_XXX(Legacy Gulf and Fraser Person Number)
 - PERS_NXXX(Legacy NP Person Number)
- Select Member from list
- Select Details tab
- Select **Docs** from dropdown
- Select **Add Document**
 - select appropriate documents to be added to member file; enter Document Name (Ex. EDD Review DD/MM/YYYY); Enter document description (Ex. investigation notes and findings for EDD review conducted on XXXMEMBER NAME)
- Click **Save Changes**

3.3.3 EDD Workflow

The EDD Workflow Date within Navaera tracks the next ongoing monitoring review to be conducted on the member.

Log into Navaera, select Sunflower Application:

- From the home screen, select Workflow from top blue banner
 - Select EDD Personal or EDD Business
- Enter Person Number in the **Customer ID Field** in Filter Results column on right:
 - PERS_DXXX Beem Member Profiles
 - PERS_XXX(Legacy Gulf and Fraser Person Number)
 - PERS_NXXX(Legacy NP Person Number)
- Select Member
- Activate Workflow box shows up
 - Select EDD Personal or Business from drop down > Submit

- Go to Workflow Actions Box
 - Drag the *New Recertification* box to the right
- Pop-up Box will display, answer questions accordingly
 - Was the high-risk review completed, and is all member information up-to-date and accurate?
 - Select Yes or No
 - Does this member have a relationship with multiple business lines?
 - Select Yes or No
 - If the member has a relationship with multiple business lines (e.g. checking, lending, investments), have all business lines provided input to the high risk review?
 - Select Yes or No
 - Do you wish to set an override date for the next recertification?
 - Enter next review date
- Click **Submit** to save changes

3.3.4 UAR application – Ongoing monitoring

The UAR application is utilized for ongoing monitoring reviews by both the frontline teams as well as AML Compliance. If the branch is responsible for submitting a UAR for an ongoing monitoring review the AML Compliance team must review the EDD queue for any UARs with additional information submitted for the review period:

[Applications Development - UAR - Reports - 7 New EDD Review](#)

If no UAR has been submitted for the member, the AML Compliance team member conducting the review must create a UAR for the ongoing monitoring review so the review is captured for FINTRAC and Board reporting metrics and tracking.

The UAR must include all standard member information and the following fields must be completed as outlined below:

- Branch where activity occurred: **AML Admin Escalation**
- Ongoing monitoring review: **Yes**

After an EDD UAR has been created by AML Compliance or frontline staff, the AML Compliance team must complete the required Compliance review fields.

3.3.4.1 EDD UAR with no STR required

If AML Compliance completes the EDD review and determines that no STR is required, the UAR may be closed without CAMLO or CAMLO Designate review only in the following circumstance:

- The membership is closed and no activity has occurred since the last STR or review.
- The membership is a prescribed high-risk member and has not had any past STR submissions

If AML Compliance determines, during the first ongoing monitoring review after the last STR submission, that no additional STR is required and the membership remains active, the ongoing monitoring UAR must be escalated to the CAMLO or CAMLO Designate for final review and approval before closure.

3.3.5 Add Membership to EDD and Ongoing Monitoring Tracker

To ensure that the next review date is diarized appropriately, the membership data and date of next review must be added to the following list:

[DEPT- Compliance - AML - High-Risk EDD and Ongoing Monitoring Tracker](#)

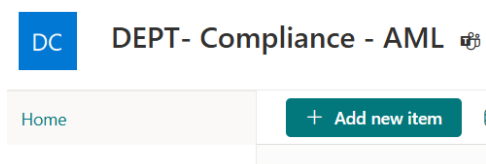
High-Risk EDD and Ongoing Monitoring Tracker

NOTE** Before adding new member to the tracker ensure that there is not already an existing record by searching by member name or member number. If there is an existing record update the applicable information including next review date

1. From the home screen search records to determine whether existing record is already in existence

- a. If no record, select “Add new item”

- i.



- ii.

- b. If there is a current record update the applicable fields below

2. Complete all required fields:

- a. Next EDD Due Date
 - b. Review Frequency
 - c. Member Name
 - d. PERS/ORG Number
 - e. Membership Status
 - i. Non-member
 - ii. Closed Membership (De-Marketed)
 - iii. Active
 - f. Member Number
 - g. Branch
 - h. AML Specialist
 - i. This is to be left blank when adding a new item
 - i. Status
 - i. This is to be left blank when adding a new item

- j. Member Risk Score
 - i. High
 - ii. Medium
 - iii. Low
- k. Sunflower Updated
 - i. “Complete” after all data has been updated to Sunflower as required
- l. Comments
 - i. Any additional information pertaining to membership & relationship
- m. High-Risk Type
 - i. If a prescribed high-risk member add details from drop down
- n. Account Closure Date
 - i. If account is to be closed add date of closure
 - ii. If the account has been closed add date of closure

3. Save

3.3.6 Member Risk Rating

If the member’s risk score is not reflected through the current risk parameters, the risk rating can be adjusted by following these steps.

Note* a risk override from low or medium to high-risk can be adjusted without prior approval. However, a risk override from high to low risk would require approval from the CAMLO or CAMLO Designate before adjusting.

Log into Navaera, select Sunflower:

- Select Relationships from blue banner
- Select Exemptions
- Add Exemption
- Enter PERS/ORG Number i.e.: PERS_D123456789
 - PERS_DXXX Beem Member Profiles
 - PERS_XXX(Legacy Gulf and Fraser Person Number)
 - PERS_NXXX(Legacy NP Person Number)
- Select Exemption Type
- Select Risk rating
 - Low Risk Override
 - Medium Risk Override
 - High Risk Override
 - Monitoring Exempt
 - Will not monitor members transactional activity for potential ML Indicators
 - Cash Processing Exempt
 - Will not monitor for or generate LCT reporting

4 Prescribed High-Risk Member Reviews

As the Credit Union maintains memberships for prescribed high-risk entities, such as FINTRAC reporting entities, additional measures will be taken while completing EDD reviews for these membership types. The designated department will hold the relationship with these types of members and will collect and provide all the required documentation and information for final review by the AML Compliance Team.

Prescribed High-Risk entity types can include, but are not limited to:

- Retail Cannabis Stores
- Health Canada Licensed Producers of Cannabis
- Money Services Businesses
- Dealers of precious metals and stones
- Armored car businesses
- Casinos
- Mortgage administrators, brokers and lender
- Other reporting entities as defined by FINTRAC

Refer to Beem's [High Risk, Prohibited and Restricted Memberships Policy](#) for a fulsome listing of individuals and entities deemed as high-risk by the Credit Union.

These types of memberships will require a full EDD review at least once every 12 months to ensure that they are operating within the Credit Union's risk tolerance.

4.1 Review Process

In addition to the above outlined [KYM Review](#), [Behaviour Review](#) and [EDD Review](#) processes, the following additional measures will be required for prescribed High-Risk memberships.

4.1.1 Additional Documentation

Depending on the type of high-risk membership type certain additional documents will be required to be collected from the member.

4.1.1.1 Government Licensing, if applicable

If the entity requires government licensing to operate within Canada or BC, we will look to collect current licensing documents. Some examples may include:

Money Services Businesses

- FINTRAC Money Services Business License

Cannabis Entities

- Retail cannabis store license

- Health Canada Production License
- Municipal business licenses for all areas of operation

Casinos

- Gaming Policy and Enforcement Branch License

4.1.1.2 AML Risk Assessment and AML Policies and Procedures, if applicable

Entities that are defined under the PCMLTFA as Reporting Entities are required to meet certain regulatory requirements as prescribed by FINTRAC. To ensure that these higher-risk memberships are operating their account in line with regulatory requirements we must collect and review their AML Policies, Procedures and Risk Assessment

4.1.1.3 Other Supporting Documentation

Depending on the type of entity additional documents can be requested to ensure that operations of accounts is in line with what would be expected given the stated nature of business. Some examples may include:

Money Services Business

- Full listing of Store Front and/or ATM locations
- Current Employee Listing
 - AML Training Certifications
- Name of current Compliance Officer
- Obtain:
 - Three months most recent bank statements for accounts held at other FIs
 - Average number of monthly regulatory reports submitted to FINTRAC (e.g. EFT; LCT; STR; LVCT)

Cannabis Entities

- CRA Corporate Tax Return and Notice of Assessment
- Balance Sheet and Income Statement
- Current Employee listing
- Employee training programs; attestations of completed training (e.g. Selling It Right)
- Obtain:
 - Three most recent cannabis sales orders
 - Three months most recent sales reports (e.g. cash, debit/credit monthly listing)
 - Three months most recent bank statements for accounts held at other FIs

4.1.1.4 Addendum to terms and conditions

The Addendum to the regular account Terms and Conditions outlines any additional requirements of the membership including, additional documentation that may be requested on a regular basis, an application of monthly compliance fees to the members accounts, and the authority for the credit union to close the account should operations not be as expected.

The most up to date Addendums can be located in the following shared Teams Channel:

[High-Risk Addendums](#)

4.1.2 Additional open-source searches

As the higher-risk memberships may operate with additional licensing requirements, the AML Compliance Team will conduct additional open-source searches to ensure that appropriate licencing is active. Some government licensing can be found at the following links:

BC Retail Cannabis Store license listing:

- [Cannabis store locations and buy legal information - Province of British Columbia \(gov.bc.ca\)](#)

Health Canada licensed producers:

- [Licensed cultivators, processors and sellers of cannabis under the Cannabis Act - Canada.ca](#)
- [Compliance and enforcement report: Cannabis inspection data summary 2021-2022 - Canada.ca](#)
- [Compliance and enforcement policy for the Cannabis Act - Canada.ca](#)

FINTRAC MSB search:

- [Money Services Business Registry](#)

4.1.3 Collecting missing information or documentation

After all items received have been reviewed, the AML Compliance Team will escalate the membership to the appropriate branch or Relationship Manager to collect any missing information or documentation as well as any additional information that is required to complete the review.

An email outlining the outstanding documentation and information will be sent to the applicable branch or relationship manager. A timeframe will be provided for the information to be provided back to the AML Compliance Team.

4.2 Completing the review

Should any unexpected, adverse, or unusual information obtained from the review, a further investigation must be conducted to determine next steps. (see [AML Admin - UAR and STR Reporting Guidelines and Procedures](#)). These additional steps may include escalating the matter to the Branch or Relationship Manager with a recommendation to withdraw services (see [Withdrawal of Services Guidelines](#)) as a result of the subsequent investigation.

If the review determined that the account operations are in line with what would be expected and all information and required documentation has been provided by the membership, the review will be documented in the member profile in Sunflower and a follow-up review date set within 12 months.

As outlined above all information and documentation collected will be required to be recorded and stored in Sunflower, including:

- Applicable [notes](#) entered into Member Profile in Sunflower
- [EDD Review Form](#) and other relevant [documents](#) uploaded to member profile in Sunflower
- EDD [workflow](#) must be updated to reflect the next review date
- Member [risk rating](#) adjusted if necessary

5 High-Risk Politically Exposed Persons/HIO's

A high-risk PEP specifically refers to either a Foreign PEP or Domestic PEP/HIO that has been determined to be high risk through a risk assessment. These individuals are considered to pose a greater financial crime risk due to their role, the country or region they operate in, or other factors, such as significant wealth, previous legal issues, or business connections with controversial entities.

The Credit Union is required by anti-money laundering (AML) and counter-financing of terrorism (CFT) regulations to apply EDD and ongoing monitoring measures when dealing with high-risk PEPs to prevent misuse of the financial system for illicit purposes.

Refer to the [AML Admin - Politically Exposed Person \(PEP\) and Head of International Organization \(HIO\) Risk Assessment Guidelines](#) for additional information on the measures taken for high-risk PEP and HIOs.

6 Senior Most Manager/CEO Statement

When the Credit Union cannot collect supporting documentation for beneficial ownership, or when an entity is identified to have no beneficial owners or controllers, frontline staff are required to complete a [Senior Manager/CEO Statement](#).

When staff complete a Senior Manager/CEO Statement they are required to submit to the AML Compliance Team for review and approval before proceeding with membership opening or changes to an entity.

When a Senior Manager/CEO Statement is received, the AML Compliance Team will conduct an EDD review of the membership using the [review procedure as outlined above](#).

Should it be identified that there are no concerns with the membership and the AML Compliance Team will proceed with opening or maintaining the relationship, the entity will be marked as high-risk and placed on a regular [ongoing monitoring review cycle](#).

7 Third-Party Accounts/Memberships

When opening an account or conducting certain transactions the Credit Union must make a third party determination, refer to the frontline [Third-Party Determination](#) Guidelines. When a third-party account is

identified Credit Union staff are required notify AML Compliance by sending an email to the AML Compliance Inbox.

Frontline staff must obtain a Third-Party Declaration Form 1914, record all required third-party details, and save to the member's ECM file for reference.

Upon notification of a new third-party account or membership AML Compliance must conduct an EDD Review of the membership using the [review procedure as outlined above](#).

After completion of the EDD Review, depending on the risk score determination, the AML Compliance Team will follow up with the frontline team providing any applicable EDD measures, including [ongoing monitoring requirements](#).

8 Ongoing Monitoring

Ongoing monitoring of High-Risk Members (HRM) is critical for the Credit Union to mitigate potential financial losses, ensure regulatory compliance, and protect the institution's overall stability. The AML Compliance Team is accountable for the ongoing monitoring of all HRM's in order to comply with the Credit Union's ongoing monitoring & EDD Procedures, and for ensuring that periodic reviews occur on a regular basis as scheduled and are appropriately documented.

8.1 Review Frequency

Ongoing monitoring frequency will be dependant on various factors including:

- The risk score of the member
- the volume of transactional activity
- the type of unusual activity identified

The periodic review schedules utilized by the Credit Union include, but are not limited to:

- Monthly; Quarterly; Semi-Annually; Annually; Biennial

8.1.1 Monthly

A monthly review frequency may be utilized where a high-risk membership has a high volume of transactional activity and STR reporting will continue to be required.

8.1.2 Quarterly

Quarterly review frequency may be utilized where for a High-Risk member, with moderate transactional activity, and STRs have been previously reported on and may continue to be required.

8.1.3 Semi-Annually

A semi-annual review frequency may be utilized for memberships including:

- A High-Risk member whereby no unusual activity was identified during the last quarterly review
- A high-risk member with minimal transactional activity (20-30 transactions/year) where an STR has been reported and may continue to be reported

8.1.4 Annually

An annual review frequency can be utilized for high-risk memberships that require a full EDD review at least once every 12 months to ensure that they are operating within the Credit Union's risk tolerance. This would include high-risk membership types such as:

- Cannabis
- Money Services Business
- High Risk member where no unusual activity was identified during at least one quarterly and one semi-annual review
- High Risk PEP/HIO where no unusual activity has been identified
- High Risk memberships that are considered high risk based on risk parameters, but no unusual activity has been identified

8.1.5 Biennial

Biennial review frequency may be used for:

- High Risk member where no unusual activity was identified at last annual review
- Memberships who have been deemed Medium Risk

9 Exceeding Risk Tolerance

During regular ongoing monitoring or EDD reviews, if the AML Compliance Team identifies a membership that they believe is exceeding the Credit Union's risk tolerance, the withdrawal of services process may be implemented (see [Withdrawal of Services Guidelines](#))

9.1 Service restrictions

If the membership is identified to exceed risk tolerance and service restrictions will limit or restrict the membership from continuing to conduct those activities, then service restrictions can be applied.

Service restrictions can be applied by the AML Compliance Team without approval from the CAMLO or CAMLO Designate, ensuring that the applicable process is followed as outlined in the [Withdrawal of Services Guidelines](#)

9.2 Account Closures

If the membership is identified to exceed risk tolerance and it is recommended that an account closure be made, the AML Compliance Team is to review the recommendation with the CAMLO or CAMLO Designate for approval before proceeding with the account closure process.

Should the CAMLO or CAMLO designate agree that an account closure is warranted then the account closure process is to be followed as outlined in the [Withdrawal of Services Guidelines](#)

9.2.1 STR Threshold

During regular ongoing monitoring activities if a membership has been identified to have had 4 STRs submitted within a 24-month period, the AML Compliance Team will escalate the membership to the CAMLO or CAMLO Designate for review to determine whether the relationship has exceeded risk tolerance.

NOTE ** AML Specialists can escalate a membership for review by the CAMLO or CAMLO Designate to close accounts even if the threshold has not been met, if the risk of ML/TF is extreme.

CAMLO or CAMLO Designate Review

The AML Compliance Team and the CAMLO or CAMLO Designate will review the relationship, the severity of the ML/TF behaviours present and potential risk exposure to the Credit Union and determine whether the ongoing risk exposure exceeds the benefit of maintaining the business relationship.

If the membership is identified to exceed the Credit Union's risk tolerance the AML Compliance Team will proceed with issuing an account closure letter, as outlined in the Withdrawal of Services Guidelines.

If the membership is determined to be maintained additional service restrictions may be placed to reduce the activities identified.

10 Risk Scoring - Navaera

The Credit Union utilizes their AML Service Provider, Navaera, to analyze and risk-rate each member. These risk-ratings are determined by analyzing both the attributes of the member and how the member uses their banking services. Navaera's system applies weightings and thresholds to a combination of factors, rendering a score between 0 – 999. Factors include services the member uses, occupation, business type, or geographic factors, as well as previously submitted FINTRAC reports (LCT, STR, EFT) and positive PEP status.

Refer to AML Risk Rating Component White Paper and Customer Financial Crime Risk Rating Reporting documents for details of the risk scoring component. (Located in Navaera's Coffeehouse)

Each member is risk-rated on the following risk factors:

Investigative Risk

- Members that have had EFT, LCT, and/or STR reports submitted to FINTRAC

Transaction Risk

- Factors are assigned to transaction codes associated with delivery channels, products and services commonly known to be used for money laundering and terrorist financing

Customer Risk

- A person's occupation or the entity's nature of business. Factors are applied to those occupations and business natures that are known to be associated with money laundering
- The type of entity (e.g., partnerships, corporation, unincorporated associations, etc.)
- PEP status

Domestic Risk

- Takes into consideration specific postal codes

Country Attribute Risk

- A person's resident tax country (if outside of Canada). For entities, this would be their head office address or country of incorporation

Country Transaction Risk

- Factors are assigned to foreign jurisdictions where transaction are originated from or ultimately sent to
 - i.e. wire transfers to high-risk jurisdictions

Risk score parameter settings can be viewed in Navaera EnView IMF → Management Reports → Interactive Customer Financial Crime Risk Rating Report, then select the report legend tab and choose the filters.

Risk scoring is re-calculated weekly on Sundays.

11 High-Risk Non-Members

To ensure that appropriate ongoing monitoring is completed for non-members that the credit union has submitted an STR on and determined to be high risk, the AML Compliance Team will review each non-member on an annual basis. The Credit Union's High-Risk Non-Members can be identified here:

1. Navigate to the High-Risk EDD and Ongoing Monitoring Tracker
 - a. [DEPT- Compliance - AML - High-Risk EDD and Ongoing Monitoring Tracker](#)
5. Under membership status filter for "Non-Member"
6. All High-Risk Non-Member's will display

11.1 Non-Member Annual EDD Review

The following process will be completed annually on each high-risk non-member:

1. Review the banking system to determine whether a membership has been opened for the non-member
 - a. If yes, proceed to [EDD Process](#) as outlined above
 - b. If no, update the next EDD Due Date in the tracker and add a note in the comment section including the date of review and findings.

12 Closed High-Risk Members

If a high-risk membership has been closed either by the member themselves, or after the Credit Union has issued an account closure letter, the AML Compliance Team must ensure that appropriate ongoing monitoring, and if applicable STR reporting, is conducted after closure.

12.1 Tracking Ongoing Monitoring

To ensure that appropriate Ongoing Monitoring is Conducted, the AML Compliance Team must add closed high-risk members to the EDD Tracker as follows:

1. Navigate to the High-Risk EDD and Ongoing Monitoring Tracker
 - a. [DEPT- Compliance - AML - High-Risk EDD and Ongoing Monitoring Tracker](#)
2. [Add or update high-risk member information in tracker](#), with the following specified fields:
 - c. For membership status indicate
 - i. Closed Membership (De-Marketed)
 - d. Indicate the date the account was closed
 - i. Account Closure Date

12.2 Closed Membership Ongoing Monitoring Cycle

Members who are deemed high-risk at the time of account closure must be reviewed at least 12 months from the account closure date. The review must assess:

- Whether any accounts have been reopened; and
- Whether any suspicious activity has been detected

If, at the one-year review:

- All accounts remain closed; and
- No suspicious activity has been detected

The member's risk rating may be reduced from High Risk to Medium Risk. The rationale for reducing risk based on the account closure status and the review conducted must be documented fully in Sunflower.

Members downgraded to Medium Risk following account closure must be reviewed on a 2-year ongoing monitoring review cycle, provided:

- No accounts have been reopened; and
- No suspicious activity has been detected,

After five (5) years from the account closure date, where:

- No accounts have been reopened;
- No transactions or services have been provided; and
- No ongoing ML/TF risk indicators exist,

The business relationship is considered ceased and no further ongoing monitoring reviews are required.

12.2.1 Closed Member Ongoing Monitoring Process

At the time of review the AML Compliance Team will conduct the following steps:

1. Review the banking system to determine whether activity has been conducted, or accounts have been opened
 - a. If yes, proceed to [EDD Process](#) as outlined above
 - b. If no, continue to next step
2. Review UAR application to determine whether any further UAR's have been submitted on this member
 - a. If yes, proceed to [Unusual Activity Investigation](#)
 - b. If no, update the next EDD Due Date in the tracker and [add detailed notes](#) in the member profile in Sunflower

12.3 Final STR Post Account Closure

Following the closure of a member account, a final Suspicious Transaction Report (STR) must be submitted where reasonable grounds to suspect money laundering or terrorist financing exist. This final STR represents the Credit Union's assessment of suspicious activity up to the point of account closure.

12.3.1 Outstanding Official Cheque

Where an account is closed to an official cheque, and the official cheque has not been deposited or cleared through another financial institution at the time the post closure STR is submitted, the STR narrative must clearly document this. For example:

As of the STR submission date, the official cheque issued after account closure has not been processed or negotiated at another financial institution. Ongoing monitoring will be conducted as required and any future STRs submitted as required.

Following submission of the post account closure STR, [notes must be added to the member profile in Sunflower](#) outlining the outstanding STR and to review the status of the cheque at the next review date. The member's profile will then be reviewed in accordance with the established [closed membership review schedule](#). As part of this review, the status of the official cheque must be verified.

Should the official cheque subsequently be deposited or cleared through another financial institution a subsequent STR must be submitted with the details of where the official cheque was deposited to.

If the cheque has not been processed within the 5-year business relationship cycle, no further action will be required.

13 Online Gambling & Illegal Cannabis EDD Process

Members who have been previously identified to have conducted illegal online gambling or illegal cannabis transactions, and an STR has been submitted, have been determined to have a medium risk of ML/TF by the Credit Union. The following outlines the EDD & ongoing monitoring process for these memberships.

13.1 EDD Review Schedule

Members who have been identified to have conducted illegal online gambling or illegal cannabis transactions and an STR submitted will be placed on a 2-year ongoing monitoring review cycle.

EDD review is to be scheduled for 2 years from the date of STR filing.

13.1.1 Further Triggering Events

If another triggering event/alert is identified within the scheduled 2-year EDD review cycle, the AML Specialists will look to conduct further investigations of the members' activity. Additional triggering events can be identified by:

- a. UAR from the Fraud Team (ex. blocked/flagged e-transfers)
 - i. Additional UAR investigation conducted as outlined in the Illegal Online Gambling & Illegal Cannabis UAR Investigations section of the [UAR and STR Reporting Guidelines & Procedures](#)
 - ii. Assessment of risk score will be conducted to determine whether Medium risk is appropriate or additional EDD measures are required.
- b. Email escalation from AML Administrators (ex. ST Event Generated with transactions related to illegal gambling/cannabis)
 - i. Additional UAR investigation conducted as outlined in the Illegal Online Gambling & Illegal Cannabis UAR Investigations section of the [UAR and STR Reporting Guidelines & Procedures](#)
 - ii. Assessment of risk score will be conducted to determine whether Medium risk is appropriate or additional EDD measures are required.

13.2 EDD Review Process

The EDD Review process will reflect the above outlined [KYM Review](#), [Behaviour Review](#) and [EDD Review](#) processes.

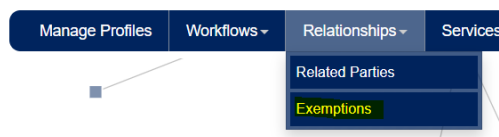
If further transactions are identified within the review period related to illegal gambling/illegal cannabis an STR must be submitted to FINTRAC, refer to the Reporting STRs to FINTRAC section of the [UAR and STR Reporting Guidelines & Procedures](#)

If additional STRs are identified and submitted to FINTRAC in relation to illegal cannabis/illegal online gambling, where the source of funds remains legitimate and no further concerns are identified. The member will be deemed to remain Medium Risk and remain on a 2-year review cycle, unless another [triggering event](#) occurs within the 2-years.

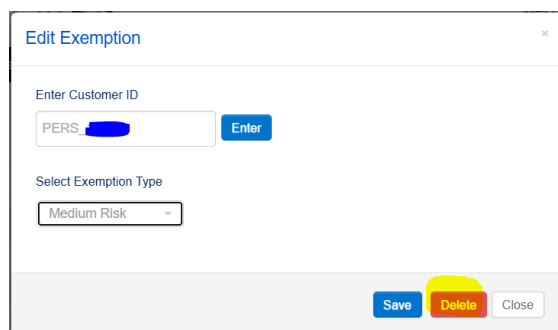
If no transactions pertaining to illegal gambling/illegal cannabis, or other unusual activity, have been identified during the period of review, the Medium risk score override will be removed and regular risk rating by the Navaera system will resume. Ongoing monitoring will be conducted as required.

To remove the Medium Risk score override:

1. Within Sunflower navigate to Relationships → Exemptions



2. Locate the appropriate member from the Exemptions listing and click to Edit Exemption
3. Confirm the correct member has been selected by verifying PERS/ORG number
4. Click the Delete button to remove the risk score override



14 Victims of Fraud/Scams EDD Process

Members who have been previously identified to have fallen victim to a fraud or scam, and an associated STR has been submitted, have been determined to be medium risk by the Credit Union. The following outlines the EDD & ongoing monitoring process for these memberships.

14.1 EDD Review Schedule

Members who have been identified to have been victimized by a fraud/scam and an STR submitted, will be rated as medium risk and placed on a 2-year ongoing monitoring review cycle.

EDD review is to be scheduled for 2 years from the date of STR filing.

14.1.1 Further Triggering Events

If another triggering event/alert is identified within the scheduled 2-year EDD review cycle, the AML Compliance Team will look to conduct further investigations of the members' activity. Additional triggering events can be identified by:

- c. UAR received from Branch, Fraud Team, or escalated from AML Compliance
 - iii. Additional UAR investigation conducted

- iv. Assessment of risk score will be conducted to determine whether Medium risk is appropriate or additional EDD measures are required.

14.2 EDD Review Process

The EDD Review process will reflect the above outlined [KYM Review](#), [Behaviour Review](#) and [EDD Review](#) processes.

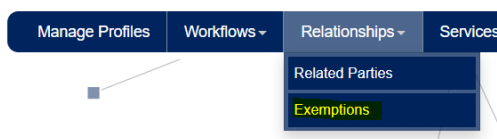
If further transactions are identified within the review period that appear to fall in line with the previous victimization an STR must be submitted to FINTRAC, refer to [AML Admin - UAR and STR Reporting Guidelines and Procedures](#)

If additional STRs are identified and submitted to FINTRAC in relation to further victimization, the AML Compliance Team will determine whether additional due diligence is required and or possible service restrictions.

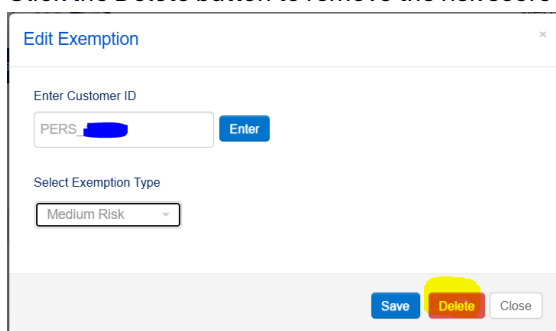
If no further transactions are identified that appear to be in line with further victimization, or other unusual activity, are identified during the period of review, the Medium risk score override will be removed and regular risk rating by the Navaera system will resume. Ongoing monitoring will be conducted as required.

To remove the Medium Risk score override:

1. Within Sunflower navigate to Relationships → Exemptions



2. Locate the appropriate member from the Exemptions listing and click to Edit Exemption
3. Confirm the correct member has been selected by verifying PERS/ORG number
4. Click the Delete button to remove the risk score override



15 Version History

DATE	VERSION	CHANGE
July 16, 2026	004	- Added section 7 – Third party accounts/memberships - Added new section under Review completion for UAR workflow and logic on when to escalate closed EDD to CAMLO for review when no STR is required
February 3, 2026	003	- Conducted annual review of guidelines and procedure to ensure alignment with systems and regulatory requirements - Updated links and applications - Aligned terminology with ‘prescribed’ high-risk members - Added ongoing monitoring schedule for closed high-risk members - Added closed member EDD review process - Added requirement to review OC information post account closure for final STR submission - Added section for Beneficial Ownership Material Discrepancies – Federally Incorporated Corporations to align with FINTRAC guidance and linked to AML Admin Procedures
March 17, 2025	002	Updates to include links to new EDD Tracking sheet
December 1, 2024	001	Initial Version Created